

The Impact of AI in Human Resources

Mini Project: HR Trends Report | September 2026

1. Introduction

Artificial intelligence (AI) has moved from a futuristic idea to an everyday tool in human resources (HR). From screening resumes to answering employee questions, AI systems now handle tasks that once filled a large part of an HR professional's day. This report examines how AI is changing HR, the benefits it offers, the risks it creates, and the legal and ethical rules that are emerging around it. It draws on published survey research, regulatory documents and a well-known case study. The central argument is that AI can make HR faster and more data-driven, but only if organizations keep human judgment, fairness and transparency at the centre.

2. The Growing Use of AI in HR

Adoption is rising quickly. SHRM's 2025 Talent Trends survey of 2,040 HR professionals found that 43% used AI to support HR tasks in 2025, up from 26% in 2024 (SHRM, 2025). Leaders expect this to continue: in SHRM's 2026 research, 87% of chief human resource officers forecast greater use of AI within HR processes, compared with 83% the year before (SHRM, 2026). Adoption is uneven, though. By 2025, 73% of HR staff at director level and above had adopted AI, compared with 65% of individual contributors (SHRM, 2026), which suggests that leadership, rather than frontline staff, has driven the change.

In practice, AI now appears across the whole employee lifecycle, as summarized in Table 1.

HR area	Typical AI applications
Recruitment	Resume screening, candidate matching, interview scheduling, drafting job descriptions
Onboarding and support	Chatbots that answer policy, leave and payroll questions around the clock
Learning and development	Personalized course recommendations and skill-gap analysis
Performance and retention	People analytics that flag attrition risk and summarize feedback
HR administration	Automated record keeping, document checks and reporting

Table 1: Common AI applications in HR (author's summary).

3. Benefits for Organizations and Employees

- **Efficiency.** Repetitive, high-volume work such as screening, scheduling and answering routine queries can be automated, freeing HR teams for coaching, culture-building and workforce planning.
- **Better decisions.** People analytics can reveal patterns in turnover, engagement and skills that are hard to see manually, helping managers act earlier.
- **Better experience.** Candidates and employees get faster responses and round-the-clock support instead of waiting days for an email reply.
- **Personalization.** Learning platforms can recommend training matched to each person's role and goals, rather than one-size-fits-all programs.

4. Risks and Challenges

4.1 Algorithmic bias

AI learns from historical data, so past inequalities can be repeated at scale. The best-known example is Amazon's experimental recruiting engine. Reuters reported that the system, trained on about a decade of resumes that came mostly from men, taught itself to prefer male candidates: it penalized resumes containing the word "women's" and downgraded graduates of two all-women's colleges (Dastin, 2018). Amazon edited the program to ignore those terms, but engineers could not be sure it would not find other discriminatory shortcuts, and the project was eventually dropped. Amazon has stated that recruiters never relied on the tool alone. The lesson is that even well-resourced companies can build biased systems unintentionally.

4.2 Transparency and trust

Many AI tools work as "black boxes". If a candidate is rejected by an algorithm, neither the recruiter nor the candidate may be able to explain why. This weakens trust and makes it hard to detect errors or unfair patterns.

4.3 Privacy and data protection

HR data is highly sensitive, covering identity, pay, health and performance records. AI tools that collect or analyze this information raise questions about consent and misuse. In India, the Digital Personal Data Protection Act, 2023 sets obligations on how organizations handle personal data, so HR teams must be careful about what data they feed into AI systems (Ministry of Law and Justice, 2023).

4.4 Skills gap and job change

HR professionals need new capabilities, including data literacy and the ability to question AI outputs. There is also anxiety about job displacement. The more realistic picture is that routine tasks shrink while oversight, ethics and employee-relations work grow in importance.

5. Regulation and Compliance

Governments are responding to these risks. The European Union's AI Act (Regulation (EU) 2024/1689) classifies AI used in recruitment, selection, promotion, task allocation and worker monitoring as high-risk. Providers and users of such systems must meet duties on risk management, data quality, documentation, transparency and human oversight (McCann FitzGerald, 2026). Draft guidance indicates that a tool can be high-risk even when a human makes the final decision, if it materially influences the outcome (DLA Piper, 2026). Following the EU's Digital Omnibus agreement, the main obligations for these employment systems have been postponed from August 2026 to December 2027 (McCann FitzGerald, 2026), so organizations have time to prepare but not to ignore the issue.

In the United States, New York City's Local Law 144 requires employers using automated employment decision tools to obtain an independent bias audit within a year of use, publish a summary of the results and notify candidates (NYC Department of Consumer and Worker Protection, n.d.). A December 2025 state audit found significant weaknesses in how the law is enforced (Office of the New York State Comptroller, 2025), which suggests that scrutiny is likely to increase. For multinational companies with operations in India, these laws matter because a single global HR tool may fall under several regimes at once.

6. Recommendations

- **Keep humans in the loop.** Use AI to assist, not replace, human decisions on hiring, promotion and termination.

- **Test for bias.** Audit tools before and after deployment, and ask vendors for evidence of fairness testing.
- **Be transparent.** Tell candidates and employees when AI is used and how to request a human review.
- **Protect data.** Collect only what is needed, restrict access, and follow applicable data protection law.
- **Build skills.** Train HR teams in data literacy, AI oversight and ethics.
- **Start small.** Begin with low-risk uses such as scheduling and employee FAQs, measure results, and then expand carefully.

7. Conclusion

AI is reshaping HR by speeding up routine work and offering new insights into people and performance. At the same time, cases such as Amazon's abandoned recruiting tool show that unchecked automation can damage fairness, and new laws are raising the standard for accountability. Organizations that combine AI's efficiency with human judgment, clear communication and strong governance are most likely to gain the benefits while protecting their people. HR professionals are therefore not being replaced by AI; their role is becoming more strategic, more analytical and more responsible for ethical use of technology.

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